SEPTEMBER 2004

KT "The Value Networking Company"

KSE Presentation

Disclaimer

This presentation has been prepared by KT Corp. ("the Company"). This presentation contains forward-looking statements, which are subject to risks, uncertainties, and assumptions. This presentation is being presented solely for your information and is subject to change without notice. No representation or warranty, expressed or implied, is made and no reliance should be placed on the accuracy, actuality, fairness, or completeness of the information presented. The Company, its affiliates or representatives accept no liability whatsoever for any losses arising from any information contained in the presentation.

This presentation does not constitute an offer or invitation to purchase or subscribe for any shares of the Company, and no part of this presentation shall form the Basis of or be relied upon in connection with any contract or commitment. Any decision to purchase shares of the Company should be made solely on the Basis of information, which has been publicly filed with the Securities and Exchange Commission or the Korea Stock Exchange and distributed to all investors.

The contents of this presentation may not be reproduced, redistributed or passed on, directly or indirectly, to any other person or published, in whole or in part, for any purpose.

Agenda

2004 1H financial highlights

Current business developments & 2H outlook

Growth reinforced by new business opportunities

Shareholder value enhancement management

Agenda

2004 1H financial highlights

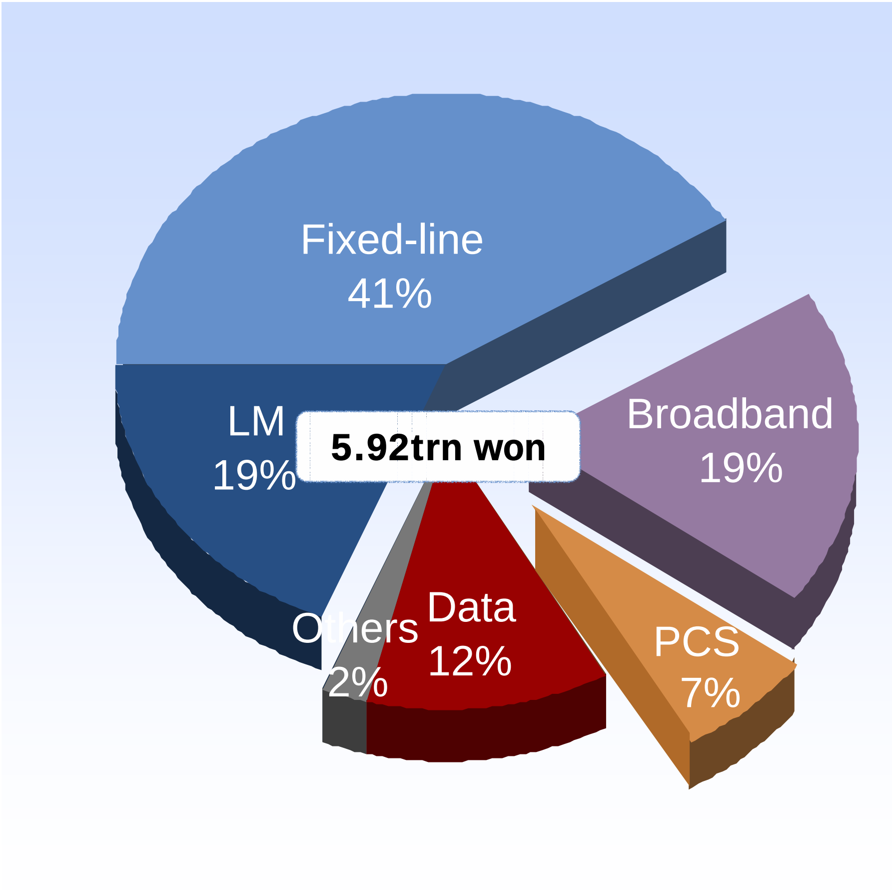
Current business developments & 2H outlook

Growth reinforced by new business opportunities

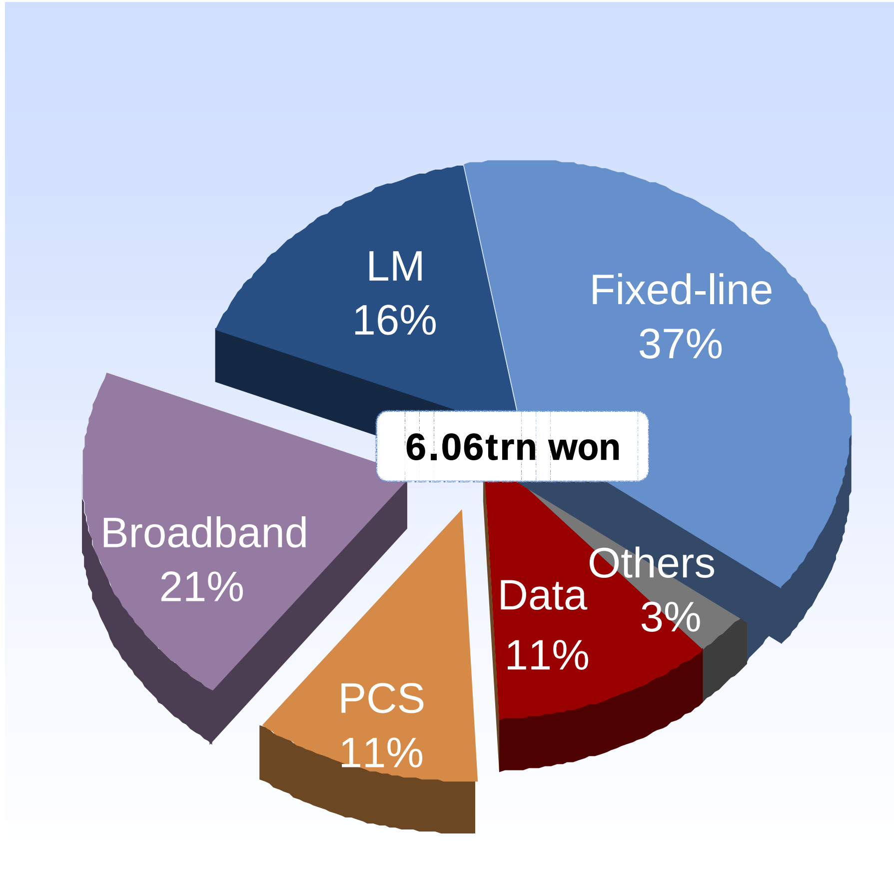
Shareholder value enhancement management

Successful shift in business focus to sustain growth

2003 1H revenue



2004 1H revenue

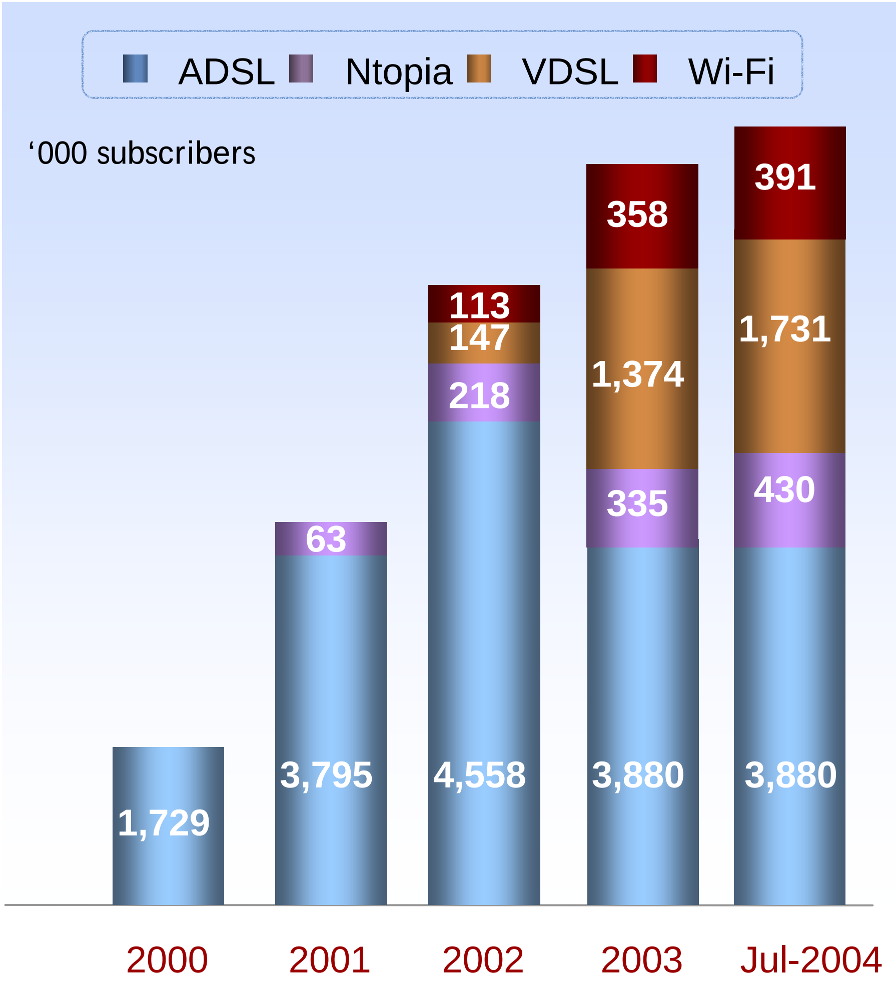


Fixed-line+LM	: PCS+Broadband
60%	: 26%

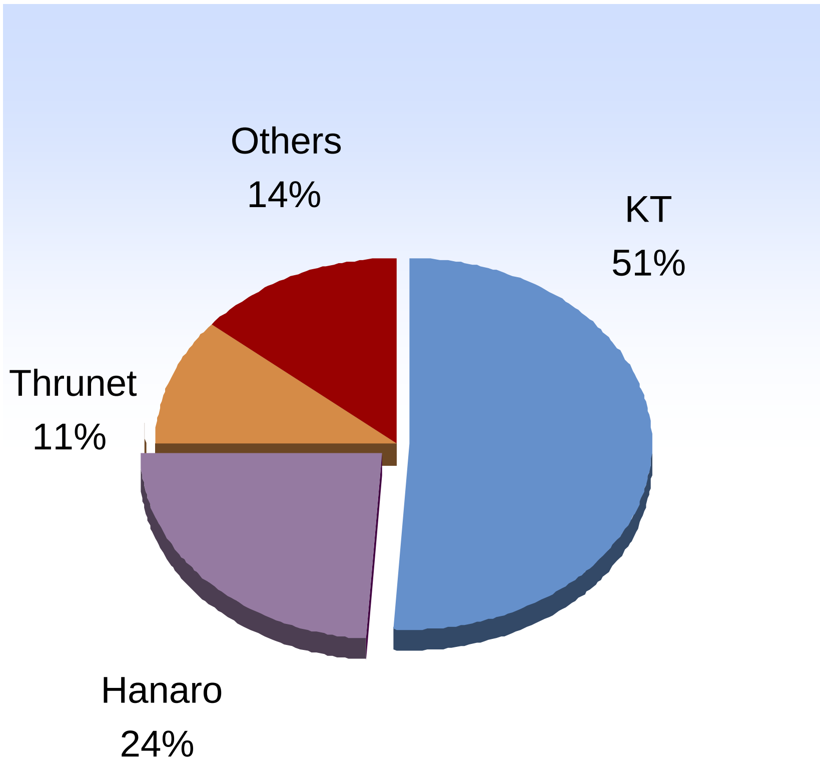
Fixed-line+LM	: PCS+Broadband
54%	: 33%

Broadband advancement through VDSL

Broadband subs



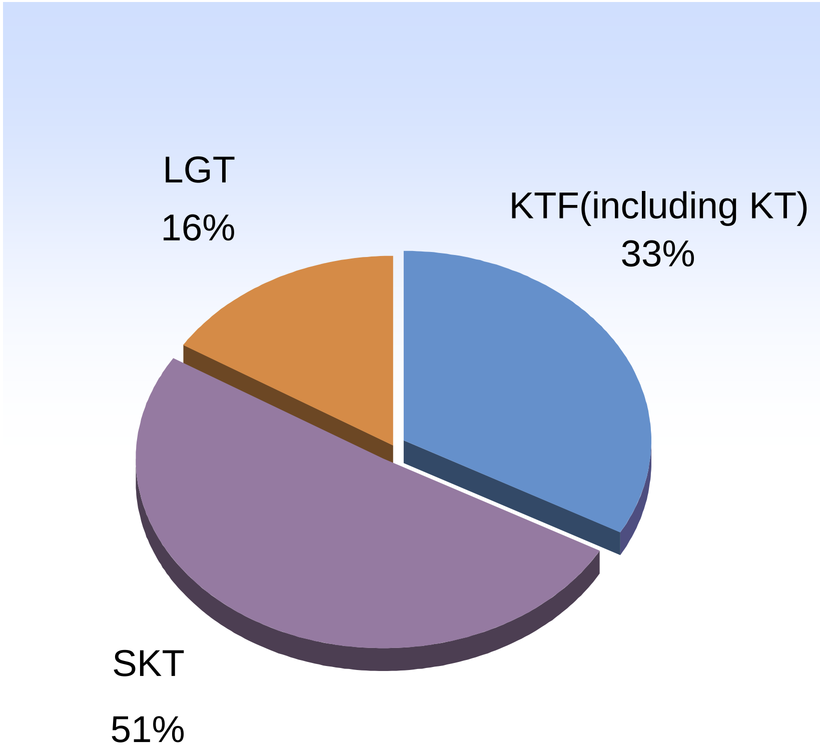
Market share



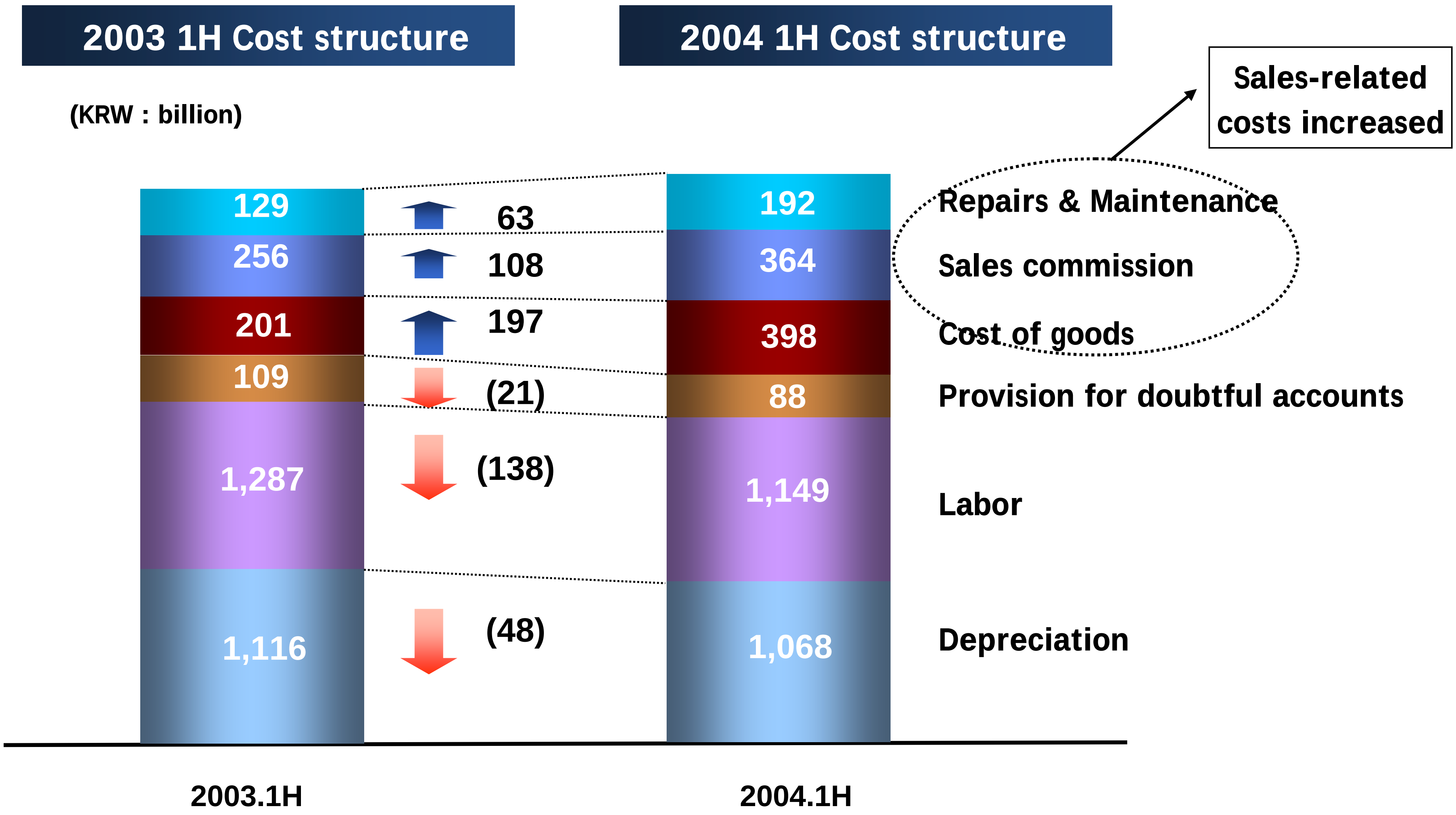
Mobile enhancement through MNP

PCS resale subs

Market share

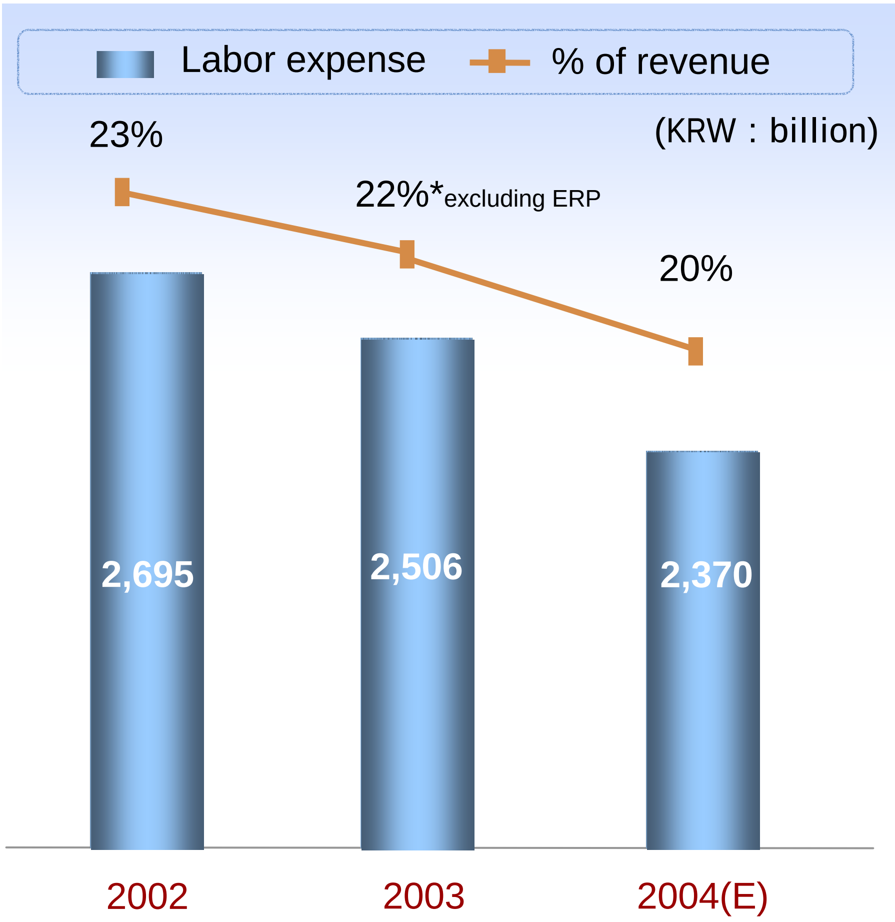


1H cost structure in a nutshell



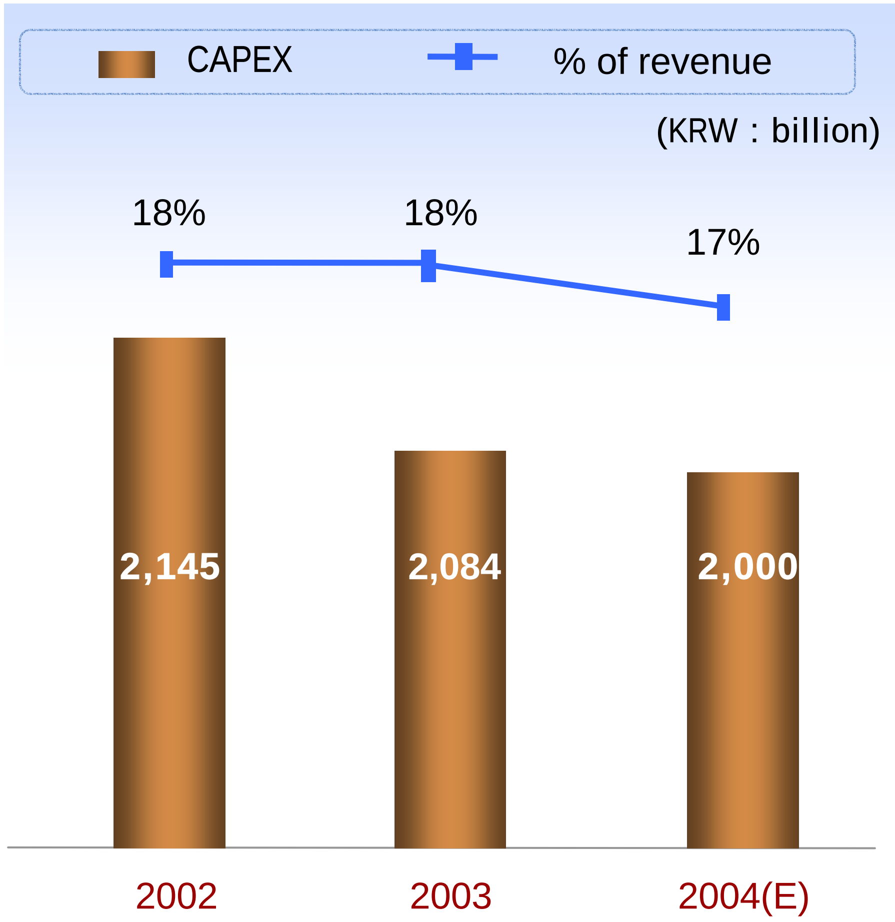
Labor expense and CAPEX under control

Labor expense



*ERP : Reduced 5,500 employees at one time cost of W832billion

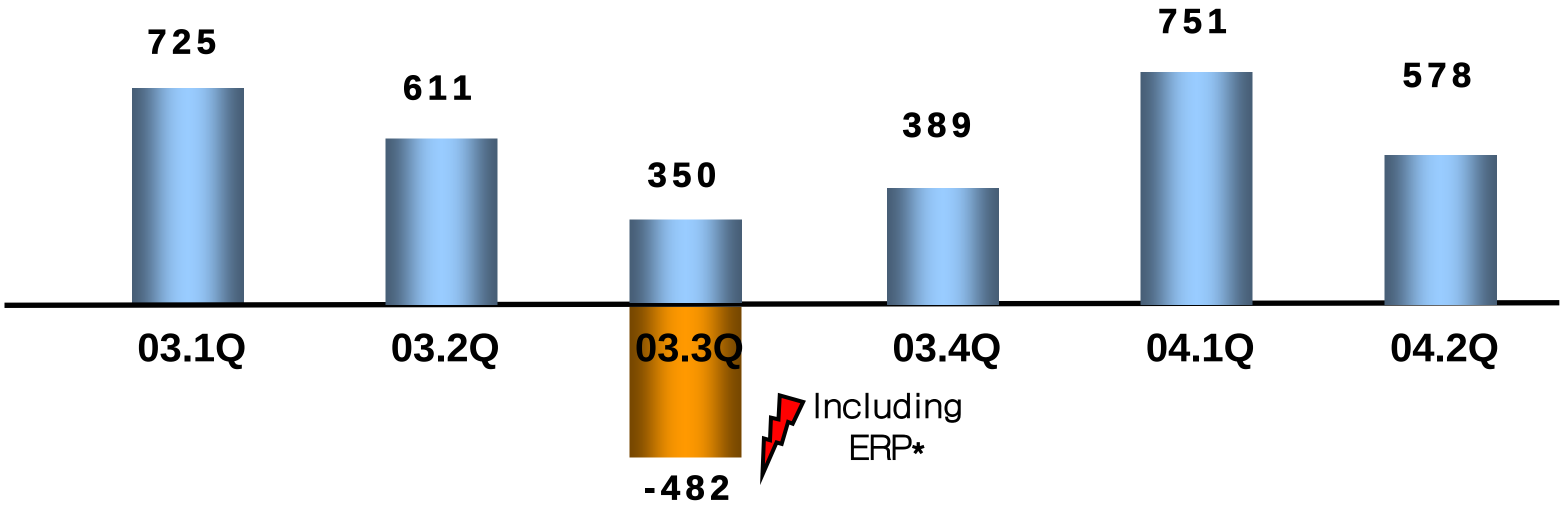
Capital expenditure



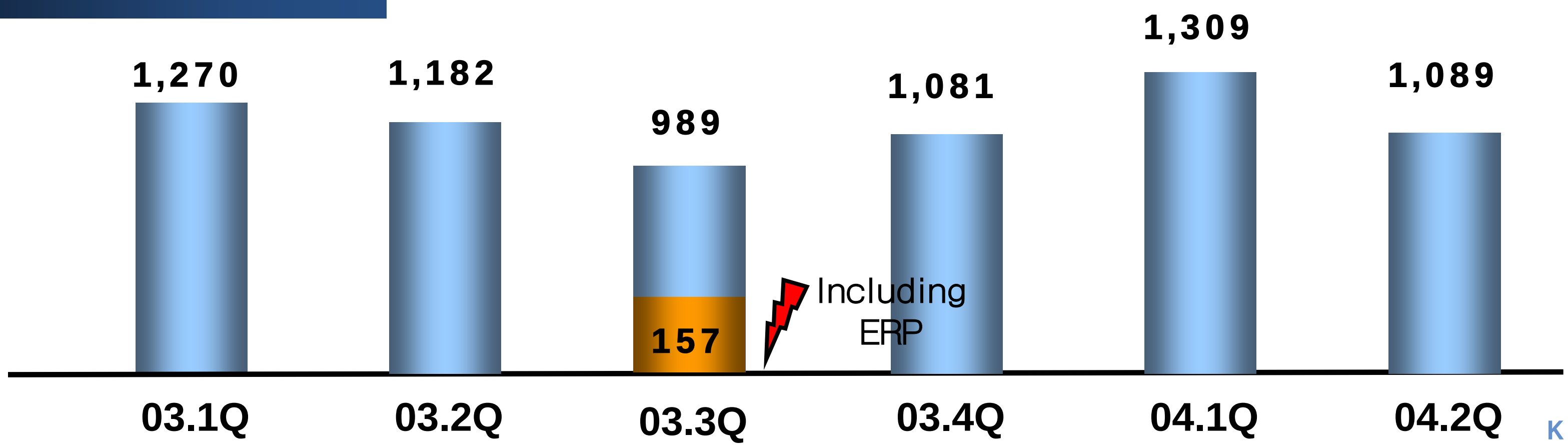
Focus on cash flow management

Operating Profit

(KRW : billion)



EBITDA



Agenda

2004 1H financial highlights

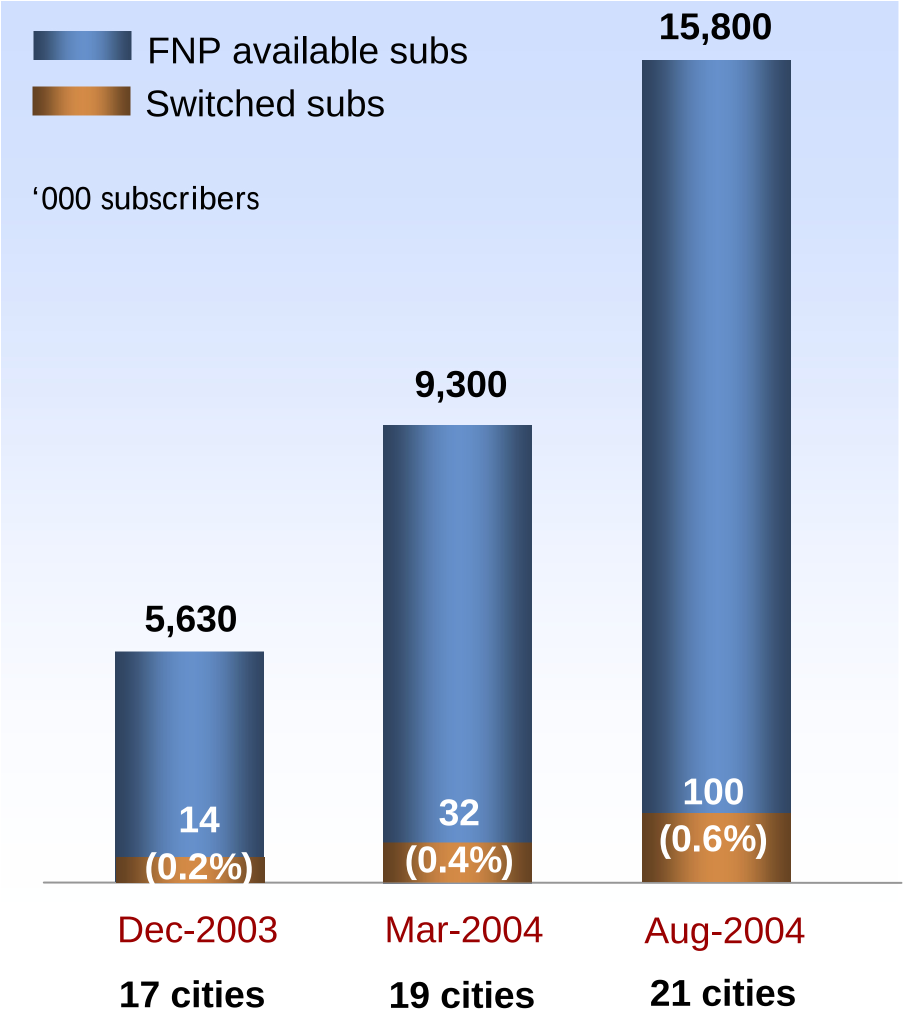
Current business developments & 2H outlook

Growth reinforced by new business opportunities

Shareholder value enhancement management

Minimal impact from FNP

Number of FNP

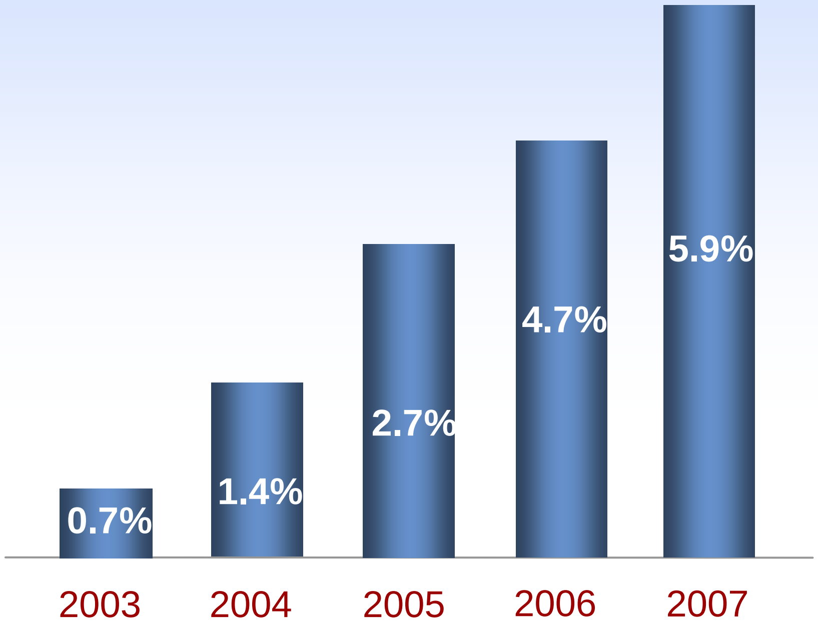


Defending FNP

- FNP expanded to all major cities (including Seoul)
- Indifferent tariff between local call service providers
- Possible churn out expected to be only 0.2 million subs
  - Amongst 1.2 million Hanaro's xDSL subs, 1 million subs already using hanaro's local call service provider

Emergence of substitution service : VoIP

VoIP substitution outlook



Source: IDC Korea

Ready to attack

- Actively promote VoIP to corporate market
- Develop VoIP VAS
  - Multicasting, Video Telephony, Multi-media Messaging Service etc
  - Higher price than local call
- Increase VoIP interconnection revenue

Reduced uncertainties

Collective bargaining agreement

- Wage increase in 2004 by 2% on total salary basis
- Implementation of 5-day work week (weekly working hours reduced from 44 to 40)
- Successful collective bargaining agreement without disputes for 2 consecutive years

Interconnection rate and LM tariff

- Changing interconnection rates for 2004 and 2005
  - fixed-line interconnection rates have increased
  - mobile interconnection rates have decreased
- LM tariff cut : 2.2%
  - 5 minutes of free usage

2004 Key financial targets

(KRW trillion, million subs)	2003	2004
Revenue	11.6	11.9
Broadband subs	5.58	6.08
PCS resale subs	1.56	2.06
OP margin	18%*	20%
EBITDA margin	39%*	39%
Net Profit	0.8	1.1

* Excluding ERP Effect

Agenda

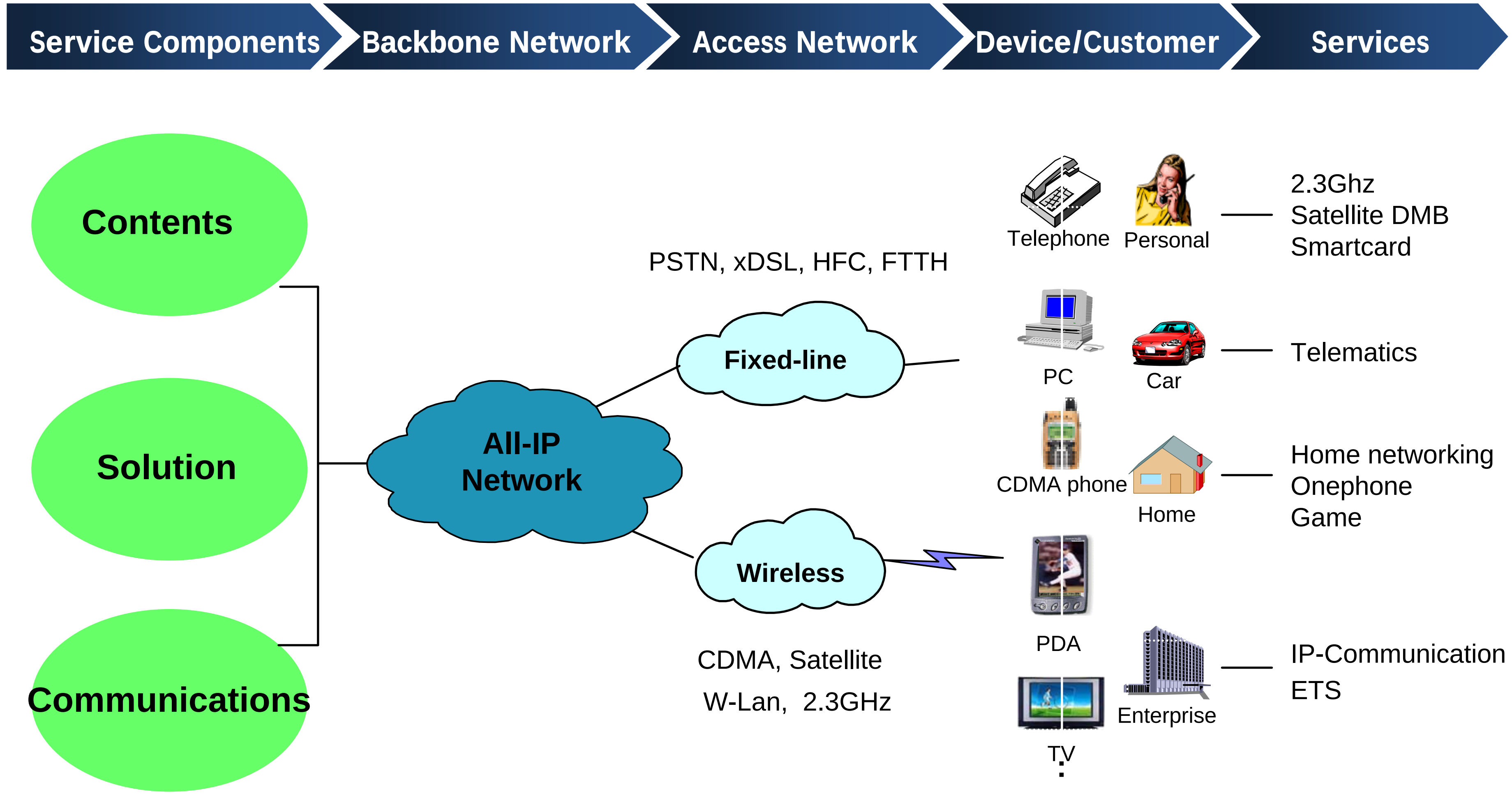
2004 1H financial highlights

Current business developments & 2H outlook

Growth reinforced by new business opportunities

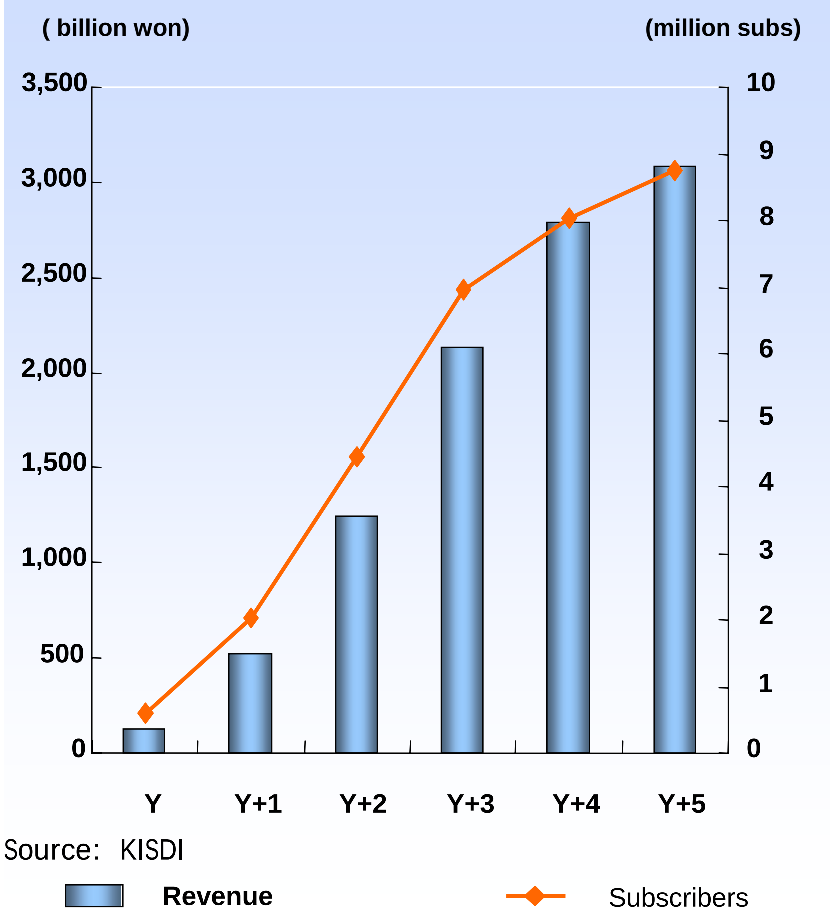
Shareholder value enhancement management

Telecom industry trend



New growth opportunities : Wi-Bro

Wi-Bro



Source: KISDI

Market outook

- Market potential : revenue of KRW 3 trillion in Y+5 & cumulative revenue of KRW 10 trillion

MIC plan

- 2004.9 : Policy guideline confirmed
- 2004.12 : License application
- 2005.2 : License to be granted
- 2006 : Commercial service launch

Agenda

2004 1H financial highlights

Current business developments & 2H outlook

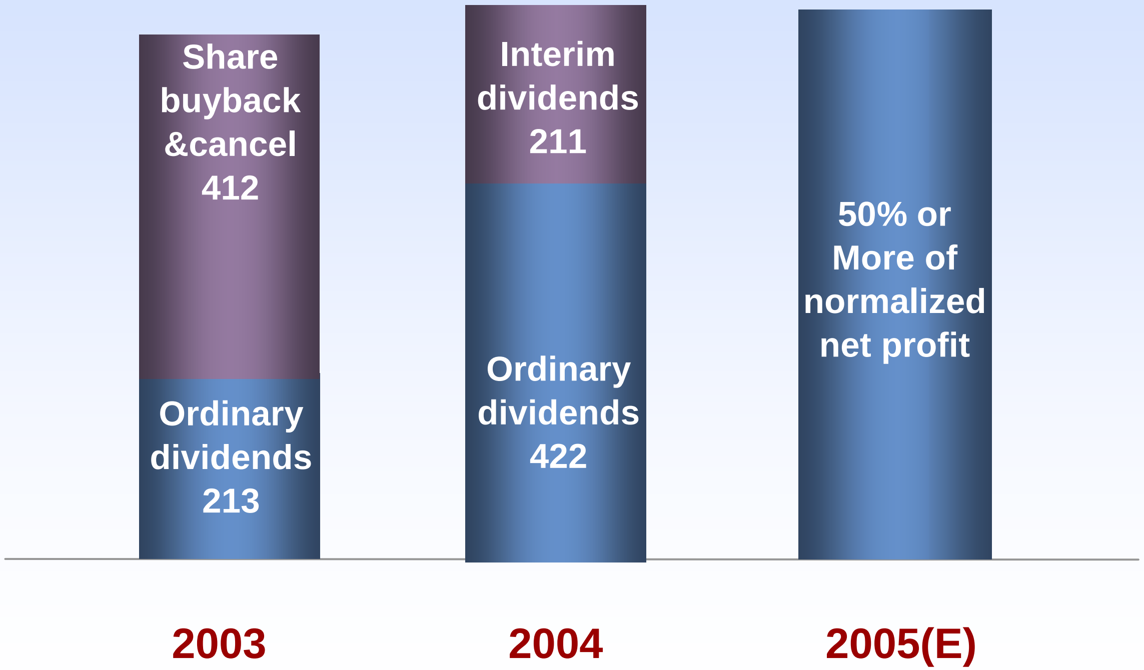
Growth reinforced by new business opportunities

Shareholder value enhancement management

Shareholder value-oriented management

Total return to shareholders

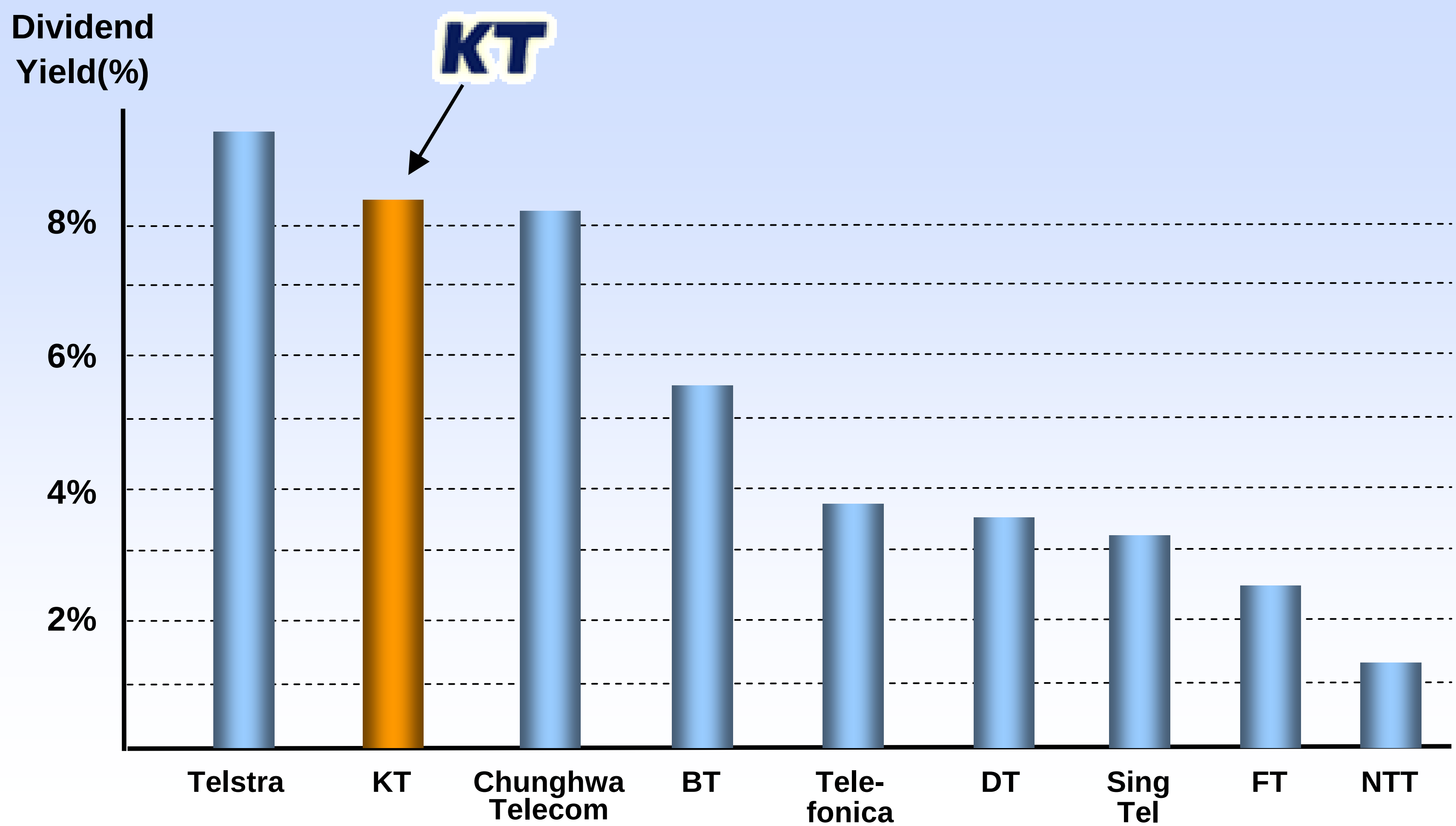
Total return to shareholders in 2004 = KRW 632 billion



- Maintain current level of returns to shareholders in 2005
- 50% or more of normalized net profit
- Quarterly dividend in review

High dividend yield amongst its global peers

Dividend Yield in 2004(E)



Source: UBS Global Telecoms Valuations (August 23, 2004)

Investment highlights

Maintain leading position

- Maintain leading market positions in all market segments

Prudent capital spending

- Focused capital spending accompanied by prudent cost and revenue initiatives

Focus on next growth engines

- Fixed—wireless integration, Telecom—broadcasting convergence

Attractive dividend yield

- One of the highest dividend yield amongst its peers

Thank you